Data

Purpose

This file documents the inputs used in the Hospital Financial Model. All figures are model assumptions supplied for a 25-year forward-looking project-finance analysis; they are not historical hospital operating results.

Operating assumptions

Assumption	Value	Model treatment
Licensed beds	300	Constant throughout the forecast
Occupancy	78%	Base-case utilization of available beds
Days per year	365	Used to calculate annual occupied bed days
Revenue per bed day	$1,100	Starting-year revenue yield
Annual revenue growth	3.0%	Applied annually after Year 1
Operating margin	18.0%	EBITDA as a percentage of revenue

Year 1 revenue build

$$\text{Year 1 Revenue} = \text{Beds} \times \text{Occupancy} \times \text{Days per Year} \times \text{Revenue per Bed Day}$$

$$300 \times 78\% \times 365 \times \$1{,}100 = \$93{,}951{,}000$$

The model grows revenue by 3.0% per year thereafter. Year 25 revenue is $190.98 million.

Operating-cost build

The model applies an 18.0% operating margin. Therefore, operating expenses equal 82.0% of revenue:

$$\text{EBITDA} = \text{Revenue} \times 18\%$$

$$\text{Operating Expense} = \text{Revenue} \times 82\%$$

Year 1 EBITDA is $16.91 million and Year 25 EBITDA is $34.38 million.

Financing inputs

Item	Value	Model treatment
Debt	$140.0 million	Initial project debt
Equity	$60.0 million	Initial sponsor equity

Item	Value	Model treatment
Total sources	$200.0 million	Matches total uses
Debt interest rate	5.25%	Applied to beginning-of-year debt balance
Debt term	25 years	Straight-line principal amortization
Annual principal repayment	$5.6 million	$140.0 million divided by 25 years

Sources and uses

Sources	Amount	Uses	Amount
Debt	$140.0 million	Construction	$180.0 million
Equity	$60.0 million	Fees	$10.0 million
		Contingency	$10.0 million
Total	$200.0 million	Total	$200.0 million

Scenario assumptions

Assumption	Downside	Base	Upside
Occupancy	65%	78%	85%
Revenue growth	1%	3%	5%
Operating margin	15%	18%	20%

The workbook currently selects the base case: 78% occupancy, 3% revenue growth, and an 18% operating margin.

Data limitations

No external source files, historical financial statements, market studies, payer-mix data, tax assumptions, maintenance capital expenditures, working-capital movements, or depreciation schedules are included in the workbook. Those items should be added if this model will be used for a real investment, lending, or operating decision.